

FRMO Corp.

A Delaware Corporation

1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

914-632-6730

www.frmocorp.com

info@frmocorp.com

SIC Code: 6719 – Holding Company

Quarterly Report
For the Quarter Ended August 31, 2020
(the "Reporting Period")

As of August 31, 2020 [Current Reporting Period or More Recent Date], the number of shares outstanding of our Common Stock was:

44,032,781

As of May 31, 2020 [Prior Reporting Period End Date], the number of shares outstanding of our Common Stock was:

44,032,781

Indicate by check mark whether the company is a shell company (as defined in Rule 405 of the Securities Act of 1933 and Rule 12b-2 of the Exchange Act of 1934):

Yes: ☐

No: ☒ (Double-click and select "Default Value" to check)

Indicate by check mark whether the company's shell status has changed since the previous reporting period:

Yes: ☐

No: ☒

Indicate by check mark whether a Change in Control of the company has occurred over this reporting period:

Yes: ☐

No: ☒

1) Name of the issuer and any predecessors (if any):

FRMO Corp.

FRMO Corp. is an active Corporation incorporated in the state of Delaware in November 1993. The name of the Corporation was changed from FRM Nexus to FRMO Corp. on November 29, 2000.

Has the issuer or any of its predecessors ever been in bankruptcy, receivership, or any similar proceeding in the past five years?

Yes: ☐

No: ☒

2) Security Information

Trading symbol:	FRMO	
Exact title and class of securities outstanding:	Common Stock	
CUSIP:	30262F205	
Par or stated value:	\$0.001	
Total shares authorized:	90,000,000	as of date: August 31, 2020
Total shares outstanding:	44,032,781	as of date: August 31, 2020
Number of shares in the Public Float	13,538,923	as of date: August 31, 2020
Total number of shareholders of record:	70	as of date: August 31, 2020

Additional class of securities (if any):

Trading symbol:	N/A	
Exact title and class of securities outstanding:	Preferred Stock	
CUSIP:	N/A	
Par or stated value:	\$0.001	
Total shares authorized:	2,000,000	as of date: August 31, 2020
Total shares outstanding:	None	as of date: August 31, 2020

Transfer Agent

Name:
Broadridge Corporate Issuer Solutions, Inc.
1717 Arch Street, Suite 1300
Philadelphia, PA 19103

Phone: 800-733-1121
Email: Shareholder@Broadridge.com

Is the Transfer Agent registered under the Exchange Act?¹ Yes: ☒ No: ☐

Describe any trading suspension orders issued by the SEC concerning the issuer or its predecessors:

None

List any stock split, stock dividend, recapitalization, merger, acquisition, spin-off, or reorganization either currently anticipated or that occurred within the past 12 months:

None

3) Issuance History

A. Changes to the Number of Outstanding Shares

Check this box to indicate there were no changes to the number of outstanding shares within the past two completed fiscal years and any subsequent periods: ☐

Number of Shares outstanding as of May 31, 2018	Opening Balance: Common: 49,973,781 Preferred: None								
Date of Transaction	Transaction type (e.g. new issuance, cancellation, shares returned to treasury)	Number of Shares Issued (or cancelled)	Class of Securities	Value of shares issued (\$/per share) at issuance	Were the shares issued at a discount to market price at the time of issuance? (Yes/No)	Individual/ Entity Shares were issued to (entities must have individual with voting / investment control disclosed).	Reason for share issuance (e.g. for cash or debt conversion) OR Nature of Services Provided (if applicable)	Restricted or Unrestricted as of this filing?	Exemption or Registration Type?
October 4, 2018	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of \$7.90 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 4, 2018	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$7.90 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
January 10, 2019	Option Exercise	Option exercise of 3,000 shares of common stock at price of \$2.75 per share (Grant date: 1/17/2012)	Common	Value of Shares at issuance \$5.60 per share	Yes	Option Exercised by Allan Kornfeld	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
August 19, 2019	Option Exercise	Option exercise of 50,000 shares of common stock at price of \$1.99 per share (Grant date: 12/16/2009)	Common	Value of Shares at issuance \$7.23 per share	Yes	Option Exercised by Hugh Ross	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
August 30, 2019	Option Exercise	Option exercise of 3,000 shares of common stock at price of \$1.95 per share (Grant date: 10/11/2012)	Common	Value of Shares at issuance \$7.20 per share	Yes	Option Exercised by Jay Hirschson	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
October 10, 2019	Option Exercise	Option exercise of 3,000 shares of common	Common	Value of Shares at issuance	Yes	Option Exercised by Allan Kornfeld	Option Exercise	Shares are restricted for at least 1 year	Shares carry the customary Securities Act

		stock at price of \$1.95 per share (Grant date: 10/11/2012)		\$6.10 per share				from issue date.	of 1933 legend.
October 10, 2019	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of \$6.10 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 10, 2019	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$6.10 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
Shares Outstanding on: August 31, 2020	<u>Ending Balance:</u> Common: <u>44,032,781</u> Preferred: <u>None</u>								

B. Debt Securities, Including Promissory and Convertible Notes

Use the chart and additional space below to list and describe all outstanding promissory notes, convertible notes, convertible debentures, or any other debt instruments that may be converted into a class of the issuer's equity securities.

Check this box if there are no outstanding promissory, convertible notes or debt arrangements: ☒

4) Financial Statements

A. The financial statements listed in items 4C – 4H are appended to this Disclosure Statement and were prepared in accordance with:

- ☒ U.S. GAAP
☐ IFRS

B. The financial statements for this reporting period were prepared by:

Name: **Victor Brodsky**
Title: **Consultant**
Relationship to Issuer: **Consultant**

- C. Review Report of Independent Registered Public Accounting Firm
- D. Condensed Consolidated Balance Sheets
- E. Condensed Consolidated Statements of Income (Loss) and Comprehensive Income (Loss)
- F. Condensed Consolidated Statement of Stockholders' Equity
- G. Condensed Consolidated Statements of Cash Flows
- H. Notes to Condensed Consolidated Financial Statements

5) Issuer's Business, Products and Services

A. Summarize the issuer's business operations (If the issuer does not have current operations, state "no operations").

The corporation is an intellectual capital firm identifying and managing investment strategies and business opportunities.

B. Describe any subsidiaries, parents, or affiliated companies, if applicable, and a description of their business contact information for the business, officers, directors, managers or control persons. Subsidiary information may be included by reference.

Fromex Equity Corp., a Delaware corporation, is a wholly owned subsidiary of FRMO Corp.

As of August 31, 2020 and May 31, 2020, the Company held a 20.33% and 19.23% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon Kinetics LLC and certain officers, principal stockholders and directors of FRMO Corp. ("the Company"). Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 79.67% and 80.77% in HKHA has been eliminated from results of operations for the periods ended August 31, 2020 and May 31, 2020.

C. Describe the issuers' principal products or services, and their markets: Holding Company.

6) Issuer's Facilities

Company leases fully furnished office space from Horizon Kinetics LLC at 1 North Lexington Avenue, Suite 12C, White Plains, New York 10601. The lease term is one year renewable for consecutive one year periods until terminated.

Company owns two (2) warehouses, approximately 30,000 square feet each, situated on 3.56 acres of land located in North Carolina. The buildings are subject to a first mortgage with a principal balance of \$779,671 as of August 31, 2020.

7) Officers, Directors, and Control Persons

Name of Officer/Director and Control Person	Affiliation with Company (e.g. Officer/Director/Owner of more than 5%)	Residential Address (City / State Only)	Number of shares owned	Share type/class	Ownership Percentage of Class Outstanding
Murray Stahl	Chairman, CEO,	Chappaqua, NY	7,164,912	Common	16.3%
Steven Bregman	President, CFO, Director	Dobbs Ferry, NY	6,912,970	Common	15.7%
John C. Meditz	Owner of more than 5%	Weehawken, NJ	7,139,851	Common	16.2%
Thomas C. Ewing	Owner of more than 5%	Charlotte, NC	4,605,858	Common	10.5%
Peter Doyle	Vice President, Director	Scarsdale, NY	4,226,140	Common	9.6%
Lawrence J. Goldstein	Director, Controls more than 5% (incl. Santa Monica Partners, L.P. ownership)	Purchase, NY	1,861,774	Common	4.3%
Santa Monica Partners, L.P.	Controlled by Mr. Goldstein	Larchmont, NY	1,008,897	Common	2.3%

8) Legal/Disciplinary History

A. Please identify whether any of the persons listed above have, in the past 10 years, been the subject of:

1. A conviction in a criminal proceeding or named as a defendant in a pending criminal proceeding (excluding traffic violations and other minor offenses);

None

2. The entry of an order, judgment, or decree, not subsequently reversed, suspended or vacated, by a court of competent jurisdiction that permanently or temporarily enjoined, barred, suspended or otherwise limited such person's involvement in any type of business, securities, commodities, or banking activities;

None

3. A finding or judgment by a court of competent jurisdiction (in a civil action), the Securities and Exchange Commission, the Commodity Futures Trading Commission, or a state securities regulator of a violation of federal or state securities or commodities law, which finding or judgment has not been reversed, suspended, or vacated; or

None

4. The entry of an order by a self-regulatory organization that permanently or temporarily barred, suspended, or otherwise limited such person's involvement in any type of business or securities activities.

None

- B. Describe briefly any material pending legal proceedings, other than ordinary routine litigation incidental to the business, to which the issuer or any of its subsidiaries is a party or of which any of their property is the subject. Include the name of the court or agency in which the proceedings are pending, the date instituted, the principal parties thereto, a description of the factual basis alleged to underlie the proceeding and the relief sought. Include similar information as to any such proceedings known to be contemplated by governmental authorities.

None

9) Third Party Providers

Securities Counsel

Name: Morris Simkin
Firm: Law Office of Morris Simkin
Address 1: 60 East 42nd Street, Suite 1101
Address 2: New York, NY 10017
Phone: (212) 455-0476
Email: msimkin@securitiesregslawyer.com

Accountant or Auditor

Name: John Basile, Engagement Partner
Firm: Baker Tilly US, LLP (formerly known as Baker Tilly Virchow Krause, LLP)
Address 1: One Penn Plaza, Suite 3000
Address 2: New York, NY 10119
Phone: (212) 697-6900
Email: John.Basile@bakertilly.com

Investor Relations Consultant

None

Other Service Providers

None

10) Issuer Certification

Principal Executive Officer:

I, Murray Stahl certify that:

1. I have reviewed this Quarterly Report of FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations, and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

October 15, 2020

/s/ Murray Stahl

Principal Financial Officer:

I, Steven Bregman certify that:

1. I have reviewed this Quarterly Report of FRMO Corp.;

2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and

3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations, and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

October 15, 2020

/s/ Steven Bregman

**FRMO CORPORATION
AND SUBSIDIARIES**

White Plains, New York

**INTERIM CONDENSED CONSOLIDATED FINANCIAL
STATEMENTS**

Including Report of Independent
Registered Public Accounting Firm

As of August 31, 2020 (Unaudited) and
May 31, 2020 and for the Three Months
Ended August 31, 2020 and 2019 (Unaudited)

**FRMO CORPORATION
AND SUBSIDIARIES**

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Three Months Ended August 31, 2020 and 2019 (Unaudited)

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Review Report of Independent Registered Public Accounting Firm

To the Board of Directors and Stockholders of
FRMO Corporation and Subsidiaries

We have reviewed the accompanying condensed consolidated balance sheet of FRMO Corporation and Subsidiaries (the "Company") as of August 31, 2020, the related condensed consolidated statements of income (loss) and comprehensive income (loss) for the three months ended August 31, 2020 and 2019, the condensed consolidated statement of stockholders' equity for the three months ended August 31, 2020, and the condensed consolidated statements of cash flows for the three months ended August 31, 2020 and 2019. These condensed consolidated financial statements are the responsibility of the Company's management.

We conducted our reviews in accordance with the standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America. A review of interim financial information consists principally of applying analytical procedures and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the objective of which is the expression of an opinion regarding the condensed consolidated financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying condensed consolidated financial statements as of August 31, 2020 and for the three months ended August 31, 2020 and 2019 referred to above for them to be in conformity with accounting principles generally accepted in the United States of America.

We have previously audited, in accordance with auditing standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the consolidated balance sheet of FRMO Corporation and Subsidiaries as of May 31, 2020 (not presented herein) and, in our report dated August 14, 2020, we expressed an unqualified opinion on those consolidated financial statements. In our opinion, the information set forth in the accompanying condensed consolidated balance sheet as of May 31, 2020 is fairly stated, in all material respects, in relation to the consolidated financial statements from which it has been derived.

Baker Tilly US, LLP

New York, New York
October 15, 2020

INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

**FRMO CORPORATION
AND SUBSIDIARIES**
CONDENSED CONSOLIDATED BALANCE SHEETS
As of August 31, 2020 and May 31, 2020

ASSETS		
	August 31, 2020 (Unaudited)	May 31, 2020
Current Assets		
Cash and cash equivalents	\$ 36,327,555	\$ 38,443,507
Accounts receivable (due from related parties)	574,947	622,007
Prepaid income taxes	954,737	1,771,218
Equity securities, at fair value (cost of \$63,031,676 and \$57,253,157 at August 31, 2020 and May 31, 2020, respectively)	62,254,055	63,835,705
Other assets	142,357	142,357
Total Current Assets	100,253,651	104,814,794
Cryptocurrency mining assets, net of accumulated depreciation of \$269,664 and \$184,035 at August 31, 2020 and May 31, 2020, respectively	1,927,779	1,384,627
Investments in limited partnerships and other equity investments at fair value (cost of \$32,343,542 and \$32,086,514 at August 31, 2020 and May 31, 2020, respectively)	43,886,456	40,897,820
Investments in Securities Exchanges	5,061,025	5,061,025
Other investments	415,529	422,721
Investment in Horizon Kinetics LLC	11,413,726	10,876,157
Participation in Horizon Kinetics LLC Revenue Stream	10,200,000	10,200,000
Total Assets	<u>\$173,158,166</u>	<u>\$173,657,144</u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities		
Accounts payable and accrued expenses	\$ 205,942	\$ 157,420
Current portion of mortgage payable	28,046	27,774
Securities sold, not yet purchased (proceeds of \$8,105,909 and \$5,394,275 at August 31, 2020 and May 31, 2020, respectively)	5,345,539	4,135,886
Total Current Liabilities	5,579,527	4,321,080
Deferred tax liability	6,207,906	6,700,817
Mortgage payable, net of current portion	751,625	751,027
Total Liabilities	<u>12,539,058</u>	<u>11,772,924</u>
Stockholders' Equity		
Stockholders' Equity Attributable to the Company	116,215,842	114,992,841
Noncontrolling interests	44,403,266	46,891,379
Total Stockholders' Equity	<u>160,619,108</u>	<u>161,884,220</u>
Total Liabilities and Stockholders' Equity	<u>\$173,158,166</u>	<u>\$173,657,144</u>

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES

CONDENSED CONSOLIDATED STATEMENTS OF INCOME (LOSS) AND COMPREHENSIVE INCOME (LOSS) For the Three Months Ended August 31, 2020 and 2019

	2020	2019
	(Unaudited)	
REVENUE		
Fees	\$ 437,778	\$ 531,820
Dividends and interest income, net	83,813	328,723
Net realized (losses) gains from investments	(1,445,502)	22,616
Equity earnings from partnerships and limited liability companies	651,091	1,316,050
Unrealized gains (losses) from investments subject to fair value valuation	2,903,163	(1,380,820)
Equity earnings from investment in The Bermuda Stock Exchange	-	40,291
Total revenue before unrealized losses from equity securities	2,630,343	858,680
Unrealized losses from equity securities	(5,858,189)	(4,846,718)
Total Revenue	(3,227,846)	(3,988,038)
OPERATING EXPENSES		
General and administrative expenses	328,547	334,793
Depreciation	85,629	14,769
Total Expenses	414,176	349,562
Loss from Operations before Provision for Income Taxes	(3,642,022)	(4,337,600)
Provision for Income Taxes	630,093	1,233,009
Net Loss	(4,272,115)	(5,570,609)
Less net loss attributable to noncontrolling interests	(4,454,356)	(5,351,747)
Net Income (Loss) Income Attributable to the Company	\$ 182,241	\$ (218,862)
OTHER COMPREHENSIVE INCOME (LOSS), NET OF TAX		
Net Loss and Other Comprehensive Loss	\$ (4,272,115)	\$ (5,570,609)
Less comprehensive loss attributable to noncontrolling interests	(4,454,356)	(5,351,747)
Comprehensive income (loss) attributable to the Company	\$ 182,241	\$ (218,862)
NET INCOME (LOSS) PER COMMON SHARE		
Basic and diluted	\$ 0.00	\$ (0.00)
WEIGHTED AVERAGE COMMON SHARES OUTSTANDING		
Basic	44,032,781	43,983,335
Diluted	44,033,825	43,983,335

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.

**FRMO CORPORATION
AND SUBSIDIARIES**

CONDENSED CONSOLIDATED STATEMENT OF STOCKHOLDERS' EQUITY
For the Three Months Ended August 31, 2020 (Unaudited)

	Stockholders' Equity									
	Redeemable Preferred Stock		Common Stock		Additional Paid-In Capital	Retained Earnings	Attributable to the Company	Non-Controlling Interests	Total Stockholders' Equity	
	Shares	Amount	Shares	Amount						
BALANCE - June 1, 2020	-	\$ -	44,032,781	\$ 44,032	\$ 37,965,027	\$ 76,983,782	114,992,841	\$ 46,891,379	\$ 161,884,220	
Non-cash Compensation	-	-	-	-	25,800	-	25,800	-	25,800	
Capital Accounts of Consolidated Limited Liability Company	-	-	-	-	1,014,960	-	1,014,960	-	1,014,960	
Net income (loss)	-	-	-	-	-	182,241	182,241	(4,454,356)	(4,272,115)	
Noncontrolling contributions	-	-	-	-	-	-	-	1,966,243	1,966,243	
BALANCE - August 31, 2020	-	\$ -	44,032,781	\$ 44,032	\$ 39,005,787	\$ 77,166,023	\$ 116,215,842	\$ 44,403,266	\$ 160,619,108	

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.

**FRMO CORPORATION
AND SUBSIDIARIES**

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
For the Three Months Ended August, 31, 2020 and 2019

	August 31,	
	2020	2019
	(Unaudited)	
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	\$ (4,272,115)	\$ (5,570,609)
Adjustments to reconcile net loss to net cash flows from operating activities		
Non-cash compensation	25,800	25,800
Net realized loss (gain) from investments	1,445,502	(22,616)
Equity earnings from partnerships and limited liability companies	(651,091)	(1,316,050)
Unrealized (gains) losses from investments subject to fair value valuation	(2,903,163)	1,380,820
Unrealized losses from equity securities	5,858,189	4,846,718
Equity earnings from investments in Securities Exchanges	-	(40,291)
Non-cash fee revenue	(65,855)	(72,101)
Depreciation	85,629	14,769
Deferred income tax benefit	(492,911)	(566,887)
Changes in operating assets and liabilities:		
Accounts receivable	47,060	(15,865)
Prepaid income taxes	816,481	736,436
Other current assets	-	(249,080)
Accounts payable and accrued expenses	48,522	67,782
Income taxes payable	-	967,402
Net Cash Flows (used in) provided by Operating Activities	(57,952)	186,228
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sale of investments	517,072	150,060
Purchases of investments	(5,335,703)	(1,456,733)
Proceeds from securities sold, not yet purchased	3,373,632	2,428,068
Purchases to cover securities previously sold	(90)	(79,542)
Purchase of cryptocurrency mining assets	(628,781)	(19,901)
Net Cash Flows (used in) provided Investing Activities	(2,073,870)	1,021,952
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from exercise of stock options	-	105,350
Other financing activities	15,870	15,000
Net Cash Flows from Financing Activities	15,870	120,350
Net Change in Cash and Cash Equivalents	(2,115,952)	1,328,530
CASH AND CASH EQUIVALENTS, Beginning of Period	38,443,507	56,080,680
CASH AND CASH EQUIVALENTS, END OF PERIOD	\$ 36,327,555	\$ 57,409,210
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the period for		
Income taxes	\$ 306,485	\$ 96,000
Interest	\$ 55,584	\$ 104,737
NONCASH INVESTING ACTIVITIES		
Investment acquired through the contribution of other investments	\$ 2,966,203	\$ 2,960,441

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of August 31, 2020 (Unaudited) and May 31, 2020 and for the
Three Months Ended August 31, 2020 and 2019 (Unaudited)

NOTE 1 - Nature of Business and Basis of Presentation

The condensed consolidated financial statements include the accounts of FRMO and its controlled subsidiaries (collectively referred to as the "Company"). The Company holds a 4.95% interest in Horizon Kinetics LLC and earns substantially all of its advisory fees from Horizon. As of August 31, 2020 and May 31, 2020, the Company held a 20.33% and 19.23% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon and certain officers, principal stockholders and directors of the Company. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 79.67% and 80.77% in HKHA has been eliminated from results of operations for the periods ended August 31, 2020 and May 31, 2020. Total stockholders' equity includes as a separate item the amount attributable to the noncontrolling interests. The Company maintains its corporate office in White Plains, New York.

The accompanying unaudited condensed consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States ("GAAP") for interim financial information. The principles for condensed interim financial information do not require the inclusion of all the information and footnotes required by generally accepted accounting principles for complete financial statements. Therefore, these condensed consolidated financial statements should be read in conjunction with the consolidated financial statements as of and for the year ended May 31, 2020 and notes thereto. The accompanying condensed consolidated financial statements have not been audited by an independent registered public accounting firm in accordance with standards of the Public Company Accounting Oversight Board (United States) but, in the opinion of management, such financial statements include all adjustments, consisting only of normal recurring adjustments, necessary for a fair statement of the Company's financial position and results of operations. The results of operations for the three months ended August 31, 2020 may not be indicative of the results that may be expected for the year ending May 31, 2021.

NOTE 2 - Summary of Significant Accounting Policies

Investment Valuation

As of August 31, 2020 and May 31, 2020, investments in limited partnerships and limited liability companies are valued using data inputs from June 30, 2020 and March 31, 2020, respectively, the dates of the most current available information. Management reviews relevant market and related data to reconcile for the period from July 1 through August 31. Because of its significance, subsequent market volatility has been reflected in these condensed consolidated financial statements as of August 31, 2020.

Cryptocurrency Mining Assets

Cryptocurrency mining assets consists of building and computer equipment utilized in the Company's cryptocurrency mining operations and are reported at cost less accumulated depreciation. Depreciation is provided using the straight-line method over the estimated useful lives of the assets. The Company estimates the useful life for computer equipment is three years, and building is 39 years.

The Company reviews its real estate asset to evaluate the necessity of recording impairment losses for market changes due to declines in the estimated fair value of the property. In evaluating potential impairment, management considers the current estimated fair value compared to the carrying value of the asset. At August 31, 2020, due to the recent acquisition, the fair value of the real estate asset is estimated to be equal to or in excess of the carrying value.

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

As of August 31, 2020 (Unaudited) and May 31, 2020 and for the
Three Months Ended August 31, 2020 and 2019 (Unaudited)

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Subsequent Events

The Company has evaluated all subsequent events from the date of the condensed consolidated balance sheets through October 15, 2020, which represents the date these condensed consolidated financial statements are available to be issued.

The recent outbreak of the coronavirus, also known as "COVID-19", has spread across the globe and is impacting worldwide economic activity. Conditions surrounding the coronavirus continue to rapidly evolve and government authorities have implemented emergency measures to mitigate the spread of the virus. The outbreak and the related mitigation measures have had and will continue to have a material adverse impact on global economic conditions as well as on the Company's business activities. The extent to which COVID-19 may impact the Company's revenue will depend on future developments, such as the ultimate geographic spread of the disease, the duration of the outbreak, travel restrictions, business disruptions, and the effectiveness of actions taken in the United States and other countries to contain and treat the disease. These events are highly uncertain and, as such, the Company cannot determine their financial impact at this time. No adjustments have been made to the amounts reported in these consolidated financial statements as a result of this matter.

NOTE 3 - Adoption of New Accounting Pronouncements

The Company has determined that no recently issued accounting pronouncements will have a material impact on its condensed consolidated financial position, results of operations and cash flows, or do not apply to its operations.

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NOTE 4 - Investments

Limited Partnerships and Limited Liability Companies and Equity Investments

The Company's investments in limited partnerships and limited liability companies and equity investments consist of the following as of August 31, 2020 and May 31, 2020:

	As of August 31, 2020 (Unaudited)		
	Cost or (Proceeds)	Unrealized Gains (Losses)	Estimated Fair Value
Equity Securities	<u>\$ 63,031,676</u>	<u>\$ (777,621)</u>	<u>\$ 62,254,055</u>
Investments in limited partnerships and other equity securities:			
Limited partnerships			
Investment in South LaSalle Partners, LP	<u>\$ 5,723,767</u>	<u>\$ 2,570,668</u>	<u>\$ 8,294,435</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	\$ 11,162,479	\$ 3,607,329	\$ 14,769,808
CDK Partners, LP	1,335,456	1,163,580	2,499,036
Polestar Fund, LP	13,099,137	4,038,927	17,138,064
Multi-Disciplinary Fund, LP	544,504	40,518	585,022
Kinetics Institutional Partners, LP	6,910	6,285	13,195
Shepherd I, LP	<u>10,854</u>	<u>1,930</u>	<u>12,784</u>
Total Investments in Managed Funds	<u>26,159,340</u>	<u>8,858,569</u>	<u>35,017,909</u>
Investment in Winland Holdings Corporation	<u>460,435</u>	<u>113,677</u>	<u>574,112</u>
Total investments in limited partnerships and other equity securities	<u>\$ 32,343,542</u>	<u>\$ 11,542,914</u>	<u>\$ 43,886,456</u>
Securities sold, not yet purchased (liability)	<u>\$ (8,105,909)</u>	<u>\$ 2,760,370</u>	<u>\$ (5,345,539)</u>

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NOTE 4 - Investments (cont.)

	As of May 31, 2020		
	Cost or (Proceeds)	Unrealized Gains (Losses)	Estimated Fair Value
Equity Securities	<u>\$ 57,253,157</u>	<u>\$ 6,582,548</u>	<u>\$ 63,835,705</u>
Investments in limited partnerships and other equity securities:			
Limited partnerships			
Investment in South LaSalle Partners, LP	<u>\$ 5,778,028</u>	<u>\$ 324,245</u>	<u>\$ 6,102,273</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	\$ 11,152,033	\$ 2,863,025	\$ 14,015,058
CDK Partners, LP	1,316,481	1,114,339	2,430,820
Polestar Fund, LP	12,811,294	4,568,797	17,380,091
Multi-Disciplinary Fund, LP	553,341	15,919	569,260
Kinetics Institutional Partners, LP	4,070	9,162	13,232
Shepherd I, LP	<u>10,832</u>	<u>1,092</u>	<u>11,924</u>
Total Investments in Managed Funds	<u>25,848,051</u>	<u>8,572,334</u>	<u>34,420,385</u>
Investment in Winland Holdings Corporation	<u>460,435</u>	<u>(85,273)</u>	<u>375,162</u>
Total investments in limited partnerships and other equity securities	<u>\$ 32,086,514</u>	<u>\$ 8,811,306</u>	<u>\$ 40,897,820</u>
Securities sold, not yet purchased (liability)	<u>\$ (5,394,277)</u>	<u>\$ 1,258,391</u>	<u>\$ (4,135,886)</u>

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NOTE 4 - Investments (cont.)

Investments in Unconsolidated Entities

Investment in Securities Exchanges

Investments in securities exchanges consist of the following as of August 31, 2020 and May 31, 2020:

	August 31, 2020 (Unaudited)	May 31, 2020
Miami International Holdings, Inc.	\$ 4,322,905	\$ 4,322,905
OneChicago, LLC	246,000	246,000
CNSX Markets, Inc.	243,040	243,040
American Financial Exchange, LLC	249,080	249,080
Total securities exchanges	<u>\$ 5,061,025</u>	<u>\$ 5,061,025</u>

The Company holds a 1.41% interest in CNSX Markets, Inc. and less than a 1.00% interest in other stock exchanges.

Other Investments

The following are the Company's other investments as of August 31, 2020 and May 31, 2020:

	August 31, 2020 (Unaudited)	May 31, 2020
Cryptocurrency Mining Entities		
HK Cryptocurrency Mining, LLC	\$ 33,120	\$ 38,886
Horatio Mining, LLC	53,900	54,706
HK Cryptocurrency Mining II, LLC	127,631	128,919
HM Tech, LLC	124,617	123,949
Total cryptocurrency mining entities	339,268	346,460
Digital Currency Group, Inc.	76,261	76,261
Total other investments	<u>\$ 415,529</u>	<u>\$ 422,721</u>

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NOTE 4 - Investments (cont.)

Investments under the Equity Method of Accounting

The Company's investment in Horizon is accounted for under the equity method of accounting. This investment has been reviewed for impairment with none being noted.

Investment Concentration

As of August 31, 2020 and May 31, 2020, the Company had one investment in an equity security held directly and indirectly, through its various investments in managed funds, amounting to approximately \$27,503,000 and \$28,247,000, respectively, which represents 23.7% and 24.6%, respectively, of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity.

NOTE 5 - Fair Value Measurements

The following tables present information about the Company's assets and liabilities that are measured at fair value on a recurring basis as of August 31, 2020 and May 31, 2020, and indicates the fair value hierarchy of the valuation techniques the Company utilized to determine such fair values.

	As of August 31, 2020 (Unaudited)					
	Fair Value Measurements at Reporting Date Using					
	Quoted Prices					
	Investments		in Active	Significant		Significant
	Measured		Markets	Other		Unobservable
	at		for Identical	Observable		Inputs
	Net Asset		Assets	Inputs		Inputs
Total	Value		(Level 1)	(Level 2)		(Level 3)
Assets (at fair value):						
Money Market Mutual Funds included in Cash and Cash Equivalents	\$ 34,274,259	\$ -	\$ 34,274,259	\$ -	\$ -	\$ -
Other Investments:						
Equity Securities	\$ 62,254,055	\$ -	\$ 62,254,055	\$ -	\$ -	\$ -
Investment in Limited Partnerships and other Equity Investments	43,886,456	43,312,344	-	574,112	-	-
Total Other Investments	\$ 106,140,511	\$ 43,312,344	\$ 62,254,055	\$ 574,112	\$ -	\$ -
Liabilities (at fair value):						
Common Stocks	\$ 5,345,539	\$ -	\$ 5,345,539	\$ -	\$ -	\$ -

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NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS As of August 31, 2020 (Unaudited) and May 31, 2020 and for the Three Months Ended August 31, 2020 and 2019 (Unaudited)

NOTE 5 - Fair Value Measurements (cont.)

	As of May 31, 2020			
	Fair Value Measurements at Reporting Date Using			
	Quoted Prices			
	Investments Measured at Net Asset	in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	Total	Value		
Assets (at fair value):				
Money Market Mutual Funds included in Cash and Cash Equivalents	\$ 35,694,672	\$ -	\$ 35,694,672	\$ -
Other Investments:				
Equity Securities	\$ 63,835,705	\$ -	\$ 63,835,705	\$ -
Investment in Limited Partnerships and other Equity Investments	40,897,820	40,522,658	-	375,162
Total Other Investments	\$ 104,733,525	\$ 40,522,658	\$ 63,835,705	\$ 375,162
Liabilities (at fair value):				
Common Stocks	\$ 4,135,886	\$ -	\$ 4,135,886	\$ -

NOTE 6 - Income Taxes

The Company files a consolidated federal income tax return and a combined state/city tax return with its wholly-owned subsidiary, Fromex Equities Corp. HKHA, included in consolidated net income (loss) before taxes is a pass-through entity subject to K-1 reporting and is not included in the Company's consolidated income tax return. Pass-through income allocated to the Company is based on the Company's ownership percentage as of August 31, 2020 and 2019, which was 20.33% and 17.34% respectively. Income tax attributable to the remaining noncontrolling interest of 79.67% and 82.66% represents a permanent difference related to "consolidation of noncontrolling interests" in the reconciliation table below of federal statutory rate to effective tax rate.

The Company records adjustments related to prior years' taxes during the period when they are identified, generally when the tax returns are filed. The effect of these adjustments on the current and prior periods (during which the differences originated) is evaluated based upon quantitative and qualitative factors and are considered in relation to the condensed consolidated financial statements taken as a whole for the respective periods.

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NOTE 6 - Income Taxes (cont.)

The provision for income taxes is comprised of the following for the three months ended August 31,:

	Three Months Ended August 31,	
	2020	2019
	(Unaudited)	
Current		
Federal	\$ 511,285	\$ 1,345,654
State and City	611,719	454,242
Total Current	<u>1,123,004</u>	<u>1,799,896</u>
Deferred		
Federal	156,952	(585,898)
State and City	<u>(649,863)</u>	<u>19,011</u>
Total Deferred	<u>(492,911)</u>	<u>(566,887)</u>
Total Provision for Income Taxes	<u>\$ 630,093</u>	<u>\$ 1,233,009</u>

Deferred tax assets and liabilities are determined using the enacted tax rates applicable to the period the temporary differences are expected to be recovered. Accordingly, the current period income tax provision is affected by the enactment of new tax rates. The net deferred income taxes on the balance sheets reflect temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and income tax purposes, tax effected at a various rates depending on whether the temporary differences are subject to federal taxes, state and city taxes, or both.

The tax effects of temporary differences which give rise to the deferred tax liability consist of the following as of August 31, 2020 and May 31, 2020:

	August 31, 2020	May 31, 2020
	(Unaudited)	
Deferred Tax Liability		
Investments in limited partnerships	\$ 7,601	\$ 1,324,677
Investment in unconsolidated limited liability companies	132,660	132,660
Deferral of gain from like-kind exchange	3,390,962	3,390,962
Unrealized gain from investments	<u>2,676,683</u>	<u>1,852,518</u>
Total Deferred Tax Liability	<u>\$ 6,207,906</u>	<u>\$ 6,700,817</u>

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NOTE 6 - Income Taxes (cont.)

A reconciliation of the federal statutory rate to the effective tax rate is as follows for the three months ended August 31, 2020 and 2019:

	2020		2019	
Loss before taxes	\$ (3,642,022)	100.00%	\$ (4,337,600)	100.00%
Computed expected tax expense	\$ (764,825)	21.00%	\$ (910,896)	21.00%
State and City taxes, net of federal benefit	483,258	-13.27%	358,850	-8.27%
Permanent differences	(280,488)	7.70%	420,661	-9.70%
Other	38	0.00%	4,768	-0.11%
(Benefit from) income taxes before consolidation of noncontrolling interests	(562,017)	15.43%	(126,617)	2.92%
Permanent differences related to consolidation of noncontrolling interests	1,192,110	-32.73%	1,359,626	-31.35%
Total provision for income taxes	\$ 630,093	-17.30%	\$ 1,233,009	-28.43%

NOTE 7 – Mortgage Payable

On November 8, 2019, the Company acquired a building to be used in certain business operations for \$1,050,000 located in North Carolina. The building was purchased subject to an \$800,000 mortgage with a 3.9% interest rate with a maturity date of November 6, 2024. The mortgage is also collateralized by an assignment of all rents received from the building. The building is rented to a related party, subject to a lease that calls for \$11,450 per month in rent through November 2024.

The following table presents contractual payments of the Company's obligation under this mortgage as of August 31, 2020:

<u>For the Year Ending May 31,</u>	<u>Total</u>
	(Unaudited)
Remainder of fiscal year	\$ 20,931
2022	28,876
2023	30,023
2024	31,215
2025	668,626
Total	<u>779,671</u>

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NOTE 8 - Net Income Per Common Share and Per Common Share Equivalent

Basic and diluted earnings per common share is calculated by dividing net income allocated to common stock by the weighted average common shares outstanding during the period. The weighted average number of shares of common stock used in the calculation of diluted earnings per share is adjusted for the dilutive effects of potential common shares including the assumed exercise of vested stock options based on the treasury stock method. Assumed exercise or conversion of potential common shares is only when the weighted average market price for the period exceeds the exercise price and the conversion price, and that the entity records earnings from continuing operations, as the inclusion of such adjustments would otherwise be anti-dilutive to earnings per share from continuing operations.

Potential common shares consist of unexercised stock options of 56,000 and 51,000 for the three months ended August 31, 2020 and 2019.

As of August 31, 2020 and 2019 there were 8,000 and 27,000 vested options, respectively, with an exercise price below the weighted average market price of the Company's common stock during the period.

The reconciliation of the weighted average number of common shares used in the calculation of basic and diluted earnings per common share follows for the three months ended August 31:

	2020	2019
	(Unaudited)	
Weighted Average Common Shares Outstanding	44,032,781	43,983,335
Effect of Dilutive Securities, common share equivalents:		
Exercise of stock options	<u>1,044</u>	<u>-</u>
Dilutive Potential Common Share Equivalents	<u>44,033,825</u>	<u>43,983,335</u>

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NOTE 9 - Stockholders' Equity

Redeemable Preferred Stock

The number of authorized Series R preferred shares is 5,000 with a par value of \$.001 per share. These shares are each convertible to 1,000 shares of the Company's common stock at the option of either the Company or the holder. There were no shares of preferred stock outstanding as of August 31, 2020 and May 31, 2020.

Stock Options

A summary of option activity as of August 31, 2020, and changes during the three months then ended, is as follows:

<i>Stock Options</i> (Unaudited)	Number of Shares	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term	Aggregate Intrinsic Value
Outstanding at June 1, 2020	56,000	\$ 6.95	3.36	\$ -
Granted	-	\$ -	-	\$ -
Exercised	-	\$ -	-	\$ -
Forfeited	-	\$ -	-	\$ -
Outstanding at August 31, 2020	<u>56,000</u>	<u>\$ 6.95</u>	<u>3.10</u>	<u>\$ 18,640</u>
Vested and Exercisable at August 31, 2020	<u>56,000</u>	<u>\$ 6.95</u>	<u>3.10</u>	<u>\$ 18,640</u>

All stock options were vested as of August 31, 2020 and May 31, 2019.

The aggregate intrinsic value of options outstanding and options exercisable at August 31, 2020 and May 31, 2020 is calculated as the difference between the exercise price of the underlying options and the market price of FRMO's common stock for the shares that had exercise prices that were lower than the \$6.41 and \$4.80 closing price of FRMO's common stock on August 31, 2020 and May 31, 2020, respectively.

As of August 31, 2020, there was no unrecognized compensation cost related to unvested options.